

Full Doc • Bank Statement • 1-Year P&L • Asset Depletion • No Ratio | Primary, Secondary Homes & Investment Properties

PROGRAM ELIGIBILITY				PRIMARY RESIDENCE		SECOND HOME & INVESTMENT	
Max Loan Amount	Max DTI	Reserves	FICO	Purch / R&T	Cash-Out	Purch / R&T	Cash-Out
\$1,500,000	50%	6 Months	720	90% ¹	80%	85%	80%
			680	85%	80%	80%	75%
			660	80%	75%	75%	70%
\$2,000,000	50%	6 Months	700	85%	80%	75%	75%
			660	80%	75%	70%	70%
\$2,500,000	50%	9 Months	700	80%	75%	75%	70%
			660	75%	70%	70%	65%
\$3,000,000	50%	12 Months	700	80%	75%	70%	65%
			680	75%	70%	65%	60%
\$3,500,000	50%	12 Months	700	70%	N/A	N/A	N/A

¹ Up to 90%; Max 89.99%

PROGRAM LIMITATIONS	
Overlays	Limit
Interest Only / 2-4 Units	80% LTV
Asset Depletion	80% LTV
Non-Warrantable Condos	80% LTV
Rural Properties – Purchase	75% LTV
Rural Properties – R&T & Cash-Out	70% LTV
Residual Income	\$2,500.00
First Time Home Buyers	Investment Home Not Allowed

PROGRAM NOTES — THESE CONDITIONS ADJUST THE MATRIX VALUES ABOVE	
CREDIT	
BK / FC / DIL / SS	48 months seasoned.
Mortgage History	1 x 30 x 12.
Qual FICO	Primary Wage Earner — middle of 3 or lower of 2 scores. Bank Statement Program with 50/50 business owners — highest mid-FICO of either applicant may be used.
Max DTI	50%.
DOCUMENTATION TYPES	
Full Doc	Wage earners: pay stubs covering 1 month YTD + most recent W-2 (2 years of pay stubs/W-2s + written VOE when commission/bonus/OT exceeds 25% of base). Self-employed (2+ years in business): most recent year personal & business returns with all schedules; YTD P&L if latest filing is 120+ days old. Signed 4506-T with matching transcripts required.
Bank Statement	Self-employed / 25%+ owners; 2 years self-employed (1 year allowed with 1 prior year in the same line of work). 12 months Personal, Business, or Blended statements. Personal: total eligible deposits ÷ 12. Business: (eligible deposits × ownership %) after 50% default expense factor ÷ 12; a lower factor (≥ 10%) allowed with a CPA/CTEC/EA expense letter or CPA/CTEC/EA-prepared P&L covering the same period. Business narrative letter required for each business.
1-Year P&L	12-month P&L prepared by a licensed, independent CPA, Enrolled Agent, or CTEC-registered preparer; signed by preparer and borrower, dated within 90 days of closing, on preparer letterhead with no exculpatory language. Borrower self-employed 2+ years with minimum 50% ownership; U.S. domestic business in existence 2+ years (internet search validation); Self-Employed Business Narrative Form required; borrowers who self-prepare their own taxes are not permitted; preparer is reverse-verified.
P&L Income Calc	(Net income from P&L × borrower ownership %) ÷ 12. Add-backs limited to depreciation, depletion, amortization & casualty loss. If the preparer did not file the borrower's most recent business return, 2 months of business bank statements are required and average monthly deposits (less disallowed items) must be within 35% of the P&L's average monthly gross revenue.
Asset Depletion	Eligible liquid assets ÷ 36 months (÷ 84 months when depletion is the only income source). Checking/savings/money market at 100%; stocks, bonds & mutual funds at 70%; retirement at 100% for ages 59.5+ or 70% under; 100% of trust assets when borrower is sole beneficiary. Business accounts may not be depleted; all owners of the depleted account must be on the loan.
No Ratio	Income & employment sections left blank. Eligible assets must cover 100% of the new mortgage note + minimum program reserves + 12 months of all total payments at funding.

PROGRAM NOTES — THESE CONDITIONS ADJUST THE MATRIX VALUES ABOVE

PROGRAM	
Occupancy	Primary, Secondary Homes & Investment Properties.
Property Types	SFR, PUD, Townhome, 2-4 Units, Condos. Rural: max acreage 10 acres with no agricultural and/or farm use.
Loan Programs	Fully Amortized — 30-Year Fixed & 40-Year Fixed. Interest Only — 40-Year Fixed, 10-year I/O; qualify over the fully amortized period (360 months).
Max Cash Out	Primary & 2nd Home: unlimited at LTV ≤ 65; \$1,000,000 at LTV > 65. Investment: \$1,000,000. Cash proceeds may be used to meet the reserve requirement.
Prepayment Penalty	Investment property only. Flat 5% OR standard stepdown structures (5-4-3-2-1, 4-3-2-1, 3-2-1, 2-1, or 1-year 1%). See Operational Prepayment Penalty Matrices for state restrictions.
Citizenship	US Citizens; Permanent Resident Aliens; Non-Permanent Resident Aliens (with US credit).
Escrows	Required for HPML loans only and LTVs > 85%.
Subordinate Financing	Primary & 2nd Homes: allowed to maximum LTV. Investment Properties: not allowed.
Min Loan / Concessions	Minimum loan amount \$100,000. Seller concessions 6%.
Appraisals	Loan amount < \$2M: one full appraisal + FNMA CU/FHLMC LCA ≤ 2.5, OR approved AVM within 10% of value with confidence factor ≥ 87% and FSD ≤ .13, OR Clear Capital CDA (or like product) within 10% or field review. Loan amount > \$2M: two full appraisals, lower value used.
Declining Markets	If the appraisal indicates a declining market, Max LTV is reduced by 5%.